

IN THE HIGH COURT OF KARNATAKA AT BENGALURU

Vayu Renewables Energy Ltd. vs National Highways Authority of India ... on 7 April, 2025

AIR 2023 DEL 203, (2023) 8 DLT 412

Bench: D.Y. Chandrachud, J.

JUDGMENT

D.Y. Chandrachud, J.

1. The petitioner, Vayu Renewables Energy Ltd., has filed this petition under Section 34 of the Arbitration and Conciliation Act, 1996 challenging the Arbitral Award dated 13-10-2022 in disputes arising out of the works contract dated 23-03-2016 awarded by the respondent, National Highways Authority of India.
2. The petitioner raised claims of unauthorized deduction of liquidated damages under Sections 73 and 74 of the Indian Contract Act, 1872, alleging that the respondent committed systemic delays in granting site access and approvals.
3. Mr. Sibal, learned Senior Counsel for the petitioner, contended that the award suffers from patent illegality under Section 34(2A) of the Arbitration and Conciliation Act, 1996, as the Tribunal ignored contemporaneous correspondence admitting delay attributable to the respondent.
4. Reliance was placed on (2021) 16 SCC 351 in the case of PSU Engineering Corporation v. State of Bihar, and on (2015) 3 SCC 49 in the case of Associate Builders v. Delhi Development Authority, to contend that an award ignoring vital documentary evidence is perverse and liable to be set aside.
5. Mr. Dave, learned Senior Counsel for the respondent, defended the award, urging that under Section 34 of the Arbitration and Conciliation Act, 1996 this Court does not sit in appeal over the Tribunal's factual findings, and that the deductions towards liquidated damages of Rs. 24,000,000/- were justified.

6. On scrutiny, the Tribunal failed to consider Ex. P-18 and Ex. P-21 which conclusively established handover defaults attributable to the respondent. However, the findings on delay compensation suffer no infirmity since no loss was proved under Section 74 of the Indian Contract Act, 1872.

7. The petition under Section 34 is partly allowed; the award to the extent of liquidated damages of Rs. 24,000,000/- is set aside, and in rest it is affirmed.

D.Y. Chandrachud.